



We know the expected rate of return, time period and the total value we need to fulfil the goal. We need to find out the 'investment' i.e. the amount we need to put in today. We will do this with a trial and error method. Enter time period and the expected rate of return. Now experiment by entering different amounts in the 'investment' column (based on monthly investment or lump-sum). Look at the 'Total Value' we get with the different amounts. We want to try with different 'investment' amounts until we get a total value that is closest to the fund requirement to fulfil the goal.

There is a small trick here i.e. the model assumes that we will be earning the given 'expected return rate' throughout the journey. However, we will be earning lower returns for shifting our money towards safer assets later. So, the 'investment' amount that we calculated using the above method, will be amped up by adding 10% to it which will be the final amount to be invested every month to meet our goal.

